

21SMCV01145 21SMCV01145

County: los-angeles

Division: Civil Law and Motion

Department: I

Hearing date: 2026-08-27

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This is a motion by the defense for terminating sanctions. This case was filed in 2021. It has dragged on for longer than usual in large part to conduct by plaintiff and his former counsel relating to summary judgment. Defendants brought a summary judgment motion. Plaintiff failed to oppose it but then walked into court the day of the hearing and his lawyer claimed it was his fault because he had suffered a breakdown. While the court ruled on the motion and largely granted it, what ensued were motions for relief, motions for reconsideration, and a series of other motions as plaintiff and his former counsel attempted to obtain leave to file an opposition. But even after the court gave such leave, deadline after deadline was missed.

There were also conditions concerning the court's requirement that plaintiff pay defendants the fees that they incurred to deal with the many, many, many hearings based on plaintiff or plaintiff's counsel's repeated delays. Eventually, an opposition was filed, the sanction was paid, the court did consider the opposition, and the motion was to a large degree denied, although it was a close motion. That process took forever.

The gist of the instant motion is that the whole suit is a fraud on the court designed to scam McCourt out of money. Defendants also contend that plaintiff has ignored the court's confidentiality order by sharing documents marked as confidential with a paralegal who aided him in preparing certain papers even after being warned about it and even after he promised that he had stopped doing it. And defendant contends that a third party declaration filed in opposition to the summary judgment motion was perjurious and that plaintiff knew it was perjurious and nonetheless caused it to be filed by exerting undue pressure on the declarant. Defendants bring this motion, arguing that no

lesser sanction will do and vindication through trial is not sufficient. Plaintiff opposes.

The underlying case is one involving what plaintiff alleges was a romantic relationship between himself and defendant McCourt. McCourt was wealthy; plaintiff has not alleged that he was wealthy. (Defendants state that he fraudulently claimed that he was an heir to the Pillsbury fortune, but that is not in the complaint and plaintiff has not conceded the point.) According to plaintiff, one night he and McCourt verbally agreed that they would pool their assets—existing and future—and tie their fortunes and futures together. That has since morphed into a Marvin claim, which is somewhat different. (A Marvin claim is a contractual agreement that a couple, though not married, will treat their future assets as if they were; it is a way to create community property by contract rather than by wedlock. That is, obviously, a great over-simplification, but the point is that a Marvin agreement is not an agreement to pool existing separate property; it is forward looking.) One entity that was created was Good Shepherd Motors (GSM), in which plaintiff was involved. Eventually, McCourt ended her association with Fuller and that ultimately led to this suit. McCourt has been consistent in asserting that the suit is a fraud from start to finish, asserting that Fuller is nothing but a “Tinder Swindler.” Fuller, for his part, has consistently maintained that what he says in this case is true. McCourt has pointed out that there is no writing of any kind anywhere that substantiates any kind of an actual claim of joint ownership of anything. No property was held in Fuller’s name, there is no bank account jointly held, there is no corporation in which Fuller owns stock or is listed as an owner, no written communication memorializing the alleged agreement, or anything remotely like it. McCourt believed she had found the silver bullet during Fuller’s deposition. Fuller had recounted the conversation in which he and McCourt reached their alleged agreement, and he pegged it to a particular date consistent with the allegations he had been making. When asked at deposition if he was sure, he said that he was. When asked if it was “emblazoned” on his mind, he said yes. But, as it turns out, McCourt was in New York that day, so they could not have been having a conversation on the veranda. Fuller’s response to that was that he might have been off by a few days, and he pointed to prior discovery requests where he had given the date as “on or about.” Frankly, as is somewhat plain from the court’s relatively long decision on that motion (51 pages), the court struggled with whether D’Amico applied to bind Fuller to the specific date. Although the court ultimately concluded that D’Amico

did not scuttle the opposition, the question was a very close one. There is more. According to McCourt, all the while that Fuller was claiming that he was in a committed, marriage-like relationship with McCourt, he was in fact living with (or spending many days and nights with) another woman in Mexico, including trying to have a child with her. Fuller also claimed to be living in Mexico when applying for Mexican residency status while now he claims that he was actually living with McCourt—meaning that he lied to the Mexican government. In prior papers, Fuller said that he did lie to the Mexican authorities but that he was not lying when he declared that he lived with McCourt. Fuller now, however, is saying that he was never informed by the Mexican authorities that anything in his application was false. That was in response to a question whether he had ever tried to correct the false statement with the Mexican authorities. A good legal mind can harmonize the two: he did lie to the Mexican government, but they have never called him on it so he never corrected the false statement. But McCourt's point is that all of this is consistent with the view that Fuller is just a fraudster who is trying to bilk her out of money.

The court will be candid, as it has a habit of being. McCourt makes a very strong case on the merits. Fuller's explanation as to getting the dates wrong is (and was) thin at best. The lack of any physical evidence of any of Fuller's claims given a relationship and alleged partnership that lasted many years is telling. And, if true, his relationship with another woman certainly counts as a strike against him in his claim that he and McCourt were all but married. (Fuller now asserts that he is married to the person in Mexico, although that happened after McCourt ended their association.) But this is not the trial, and the court is not the trier of fact here. The question is whether the case is such that Fuller's evidence is weak enough that the court—as a sanction—ought to throw the case out or whether Fuller's misconduct is such that the court ought to throw the case out (or a combination of both).

The court turns first to the theory that Fuller's case is so weak that it can be thrown out. There is authority that the court can throw out a frivolous claim that is an obvious sham. (*Lyons v. Wickhorst* (1986) 42 Cal.3d 911; *Huang v. Hanks* (2018) 23 Cal.App.5th 179.) But those cases establish the exception that proves the rule. Where a case is so implausible on its face that it is just not possible anywhere in the multiverse, courts can take action. But

that category is reserved for claims like that the government is engaging in mind control through technology received from Mars or things of that ilk. And usually, it is reserved for situations where that is the allegation—resort is not needed to evidence. That makes sense. The court ought not allow discovery to be taken on government-Martian mind control technology and then force the defendant to go through the summary judgment procedure to get that case thrown out. Mulder and Scully are not testifying. For example, in Huang, the plaintiff sought a restraining order against Governor Schwarzenegger, the Dalai Lama, Tom Hanks, and many others. The plaintiff claimed that defendants were associated with the mental department in Texas by which they used technology (mind reading) to attack him and to cause people to stalk him. It goes on, but the trial court did not feel the need to allow that case to proceed and the Court of Appeal agreed. The court determined that the complaint was frivolous on its face. The Court of Appeal reasoned that courts only needed to hear actual disputes and not claims that are themselves nothing more than harassment or fantasy on their face. Accordingly, trial courts have the inherent authority to dismiss a case that is fraudulent or vexatious demonstrated by the pleadings themselves. The situation was a bit different in Lyons. There, the trial court ordered mandatory arbitration. Before the arbitration, plaintiff told the arbitrator that he was not going to present evidence. Defendant did not feel the need to present any evidence in light of that decision. That led to the appointment of a new arbitrator. Plaintiff again presented no evidence, leading the defense not to attend the arbitration as there would be no point. The arbitrator entered an award in defendant's favor. Plaintiff then requested a trial de novo. The court dismissed the action, finding that plaintiff's refusal to offer evidence at the hearing bordered on contempt and warranted dismissal. Our Supreme Court reversed, finding that dismissal was not authorized under 128.5 for refusing to participate in a judicial arbitration. However, the Court did re-affirm the court's inherent power to dismiss a case for an appropriate reason.

Neither of those cases supports dismissal here. Lyons suggests that in very extreme situations a dismissal sanction is appropriate, but the court does not see Lyons as authorizing a dismissal based on the merits of the case. Huang would get defendants where defendants want to go were the case frivolous on its face. But it is not. The argument McCourt puts together is not based on an impossible pleading; it is based on an evidentiary record. The way to test the evidentiary record is through summary judgment. If there is no

real factual dispute, summary judgment is appropriate; if there is a factual dispute, then the motion must be denied.

This court might have been wrong in denying the prior motion—as stated, the question was a close one. But that is the procedure—and the only procedure—that would authorize dismissal of a case on its merits that is not facially absurd.

The court believes that using its inherent power to find that the facts as set forth by one side are strong enough to warrant judgment but not through summary judgment is not a power given to the court absent a Huang situation.

The second theory is that the case should be dismissed as a sanction for Fuller's refusal to obey the court's protective order. Refusal to obey a court order can be grounds for terminating sanctions. But the test is arduous. First, generally terminating sanctions are the last step of a journey in which lesser sanctions have been tried but have failed. The court has not imposed lesser sanctions on Fuller for this violation or type of violation. To be sure, McCourt would likely be of the view that the only reason for that is that the court has been too lenient with Fuller, and that might be true. It might be that the court should have come down harder on Fuller for showing the documents to a paralegal aiding him in preparing his documents while he was unrepresented. But the court is not inclined to go there. Second, the court has not seen a showing that showing these documents to the paralegal caused McCourt significant harm. The court is not sure that there are any such documents where there has actually been a formal showing that the document meets the definition of confidential, and there has been no showing that the documents were unusually sensitive or contained unusually sensitive information. There has been no showing that the paralegal has retained the documents or in any way disseminated them. In short, while the court does not condone the violation of the order, there has been no showing of actual injury or prejudice. Before the court would throw out a case for the violation of a protective order, these showings (or at least some of them) would have to be made and made strongly.

The third, and strongest, argument is that plaintiff has perpetrated a fraud on the court by submitting knowingly false evidence. Not evidence like lying at a deposition or

putting in a declaration from that plaintiff that is not true, but rather by obtaining a declaration through trickery from a third party that Fuller knew was false. Specifically, the witness in question is Perales. In opposition to summary judgment, Perales signed a declaration stating that he was an employee of GSM and that he saw Fuller and McCourt essentially living together and acting in many respects as one would expect in a committed marriage-like relationship. The declaration was in English. McCourt's counsel stated that she contacted Perales. He is not fluent in English, so she spoke to him in Spanish—a language in which she is proficient. She states that she first met Perales in 2023. He was not forthcoming at the time, though. She told him that she thought one day he would tell her the truth. After his MSJ declaration, she spoke to him again. She asked how he had signed a declaration in English. At first, he denied signing it, but he later stated that he signed it at Fuller's repeated insistence but he never read or understood it. She met with him again on March 31, 2026, for 45 minutes. This conversation was recorded with his consent. She read the declaration to him and he disavowed it all. He said that he told Fuller he did not understand the declaration, and Fuller told him "no problem" and kept pressuring Perales to sign it. Perales told McCourt's counsel that in fact Fuller was involved in a romantic relationship with a woman in Mexico for years and that he spent more time there than anywhere else, and that he never saw any romantic activity (even holding hands) between Fuller and McCourt. He said that some of the specific things to which he declared were just false and that Fuller in fact never lived with McCourt, and that Fuller admitted to him that the case was a scam. The foregoing recitation comes from McCourt's counsel's declaration, not from a declaration from Perales.

Terminating a case based on misconduct is allowed under extreme circumstances. McCourt correctly identifies *Steven Slisinger, Inc. v. The Walt Disney Company* (2007) 155 Cal.App.5th 736 as being the seminal case on point. Plaintiff in that case sued Disney for failing to pay royalties relating to Winnie the Pooh. Plaintiff asserted that he had obtained the rights from the character's creator, A.A. Milne. Plaintiff hired an investigator and did not meaningfully limit what the investigator could do. In fact, the investigator secretly obtained documents from Disney, including stealing thousands of pages of confidential material—including privileged material—from location in which the documents had

been taken to be destroyed. The documents were passed on to plaintiff and plaintiff's counsel, who looked at the documents. That activity and those illegally obtained documents were concealed for about a decade. When the documents and behavior finally came to light, the trial court concluded that the client had authorized the conduct (in other words, the client could be held responsible directly) and that the information in the documents was such that there was no remedy other than termination that would be appropriate.

Further, the court concluded that plaintiff had altered the documents and lied under oath at deposition in this regard. The termination order was affirmed by the Court of Appeal. The court held that there is an inherent power to dismiss an action under appropriate circumstances. That is not the same as the power of contempt; it is an inherent power to sanction behavior that is illegal, unethical, and taints the judicial process. The court noted that the misconduct must be so bad that any lesser sanction cannot protect the fairness of the trial. The court found that the case at hand was just such a case, given not only the years of subterfuge and false statements and unethical and illegal conduct, but the fact that the information included privileged information that would be quite useful to a party opponent and that the knowledge learned—including now in the client's possession—could not be unheard. The issue was also discussed in

R.S. Creative Inc. v. Creative Cotton, Ltd. (1999) 75 Cal.App.4th 486. There, the trial court imposed a terminating sanction after repeated discovery violations, including a finding that plaintiffs had used a knowingly forged contract as the basis of the complaint and refused to allow the principal's deposition to be concluded, and then destroyed evidence. The contract aspect was especially bad. The case was for breach of contract, but no one could find the actual contract. Then, suddenly, plaintiff claimed to have one, but it turned out to be a forged piece of evidence. Defendant later found the actual contract, and plaintiff was caught in the lie.

That, coupled with plaintiff's deliberate destruction of evidence, was sufficient. But the court in *Creative*, like the court in *Disney*, was careful to note how egregious and central to the case the misconduct must be. And it must rise to the level where the court can no longer ensure a fair trial in light of that misconduct.

McCourt here makes a good showing. If defendants' assertions are true, the Perales declaration is a problem. Fuller

is alleged to have written a false declaration he knew the declarant did not understand and pressured the declarant into signing it. That is a fraud on the court. And, frankly, were that a central piece of evidence at summary judgment, the court might feel strongly that either summary judgment ought to be revisited or that this motion ought to be granted. The court agrees that, if true, the allegations regarding the Perales declaration are gross misconduct by plaintiff. But the question has two dimensions. The first is the egregiousness of the conduct, and the second is the prejudice caused thereby. If, as McCourt claims, the statements in the Perales declaration are untrue, the court cannot imagine any world in which Fuller did not know they were untrue. Second, the declaration was in English—a language in which Perales is not fluent.

Plaintiff ought to know that having a declarant sign a declaration he cannot read or understand is not allowed, and Corder (his lawyer at the time) certainly knew that. The way we do it is to have the declaration written and signed in Spanish—the declarant's language—and then translated by a certified translator into English. Doing it the way it was done is improper and unethical. Third, pressuring a declarant to sign a declaration is not good.

Depending on the pressure, it may be unethical. Asking many times is not itself unethical, but when coupled with the other problems, it starts to seem that way. If McCourt's allegations are true, then this conduct is grossly improper taken as a whole and was designed to cause the court to deny a motion for summary judgment through the use of knowingly false evidence. Those are strong words, but they reflect strong alleged misconduct.

Nor can the court lay this at Corder's feet. According to McCourt, Perales says that his discussions were directly with Fuller, whom he knew, not attorney Corder. If this is true, Corder is guilty of negligence in not checking to be sure of the reliability of the evidence he proffers to the court, but it is Fuller who is guilty of deliberate falsehood and subterfuge. Now, all of this assumes that defense counsel's statement is accurate, meaning that her recitation of Perales' comments are true and that he was telling her the truth as well. The court must say that the court tends to believe that counsel's recitation is accurate.

Counsel claims that the final discussion—which is the one that matters most—was recorded (with permission) and witnessed. The recording is available. And counsel invited (which is really too weak a word) the court to have Perales testify live.

That is not the action of someone who is making it up. Of course, it remains hearsay—it is being offered for the truth of what Perales told counsel. But that hearsay might be admissible in the sense that it is a statement against penal interest. Perales is admitting that he signed a

document under penalty of perjury that was untrue. To be clear, the court has great concern about this issue, and it meets the first prong of egregious conduct. It might not be as bad as Disney or Creative—in fact it is not—but it is pretty bad. And if it were truly a central aspect of the denial of summary judgment or if it truly tainted the trial to the point where no fair trial could be had, the court would reconsider its order regarding live testimony and have Perales testify in court, thereby eliminating any hearsay issue. Perales's testimony would either be consistent with McCourt's counsel's recitation, or not.

But that only leads to the second prong: whether termination of the case the only way to eliminate the prejudice. Had the Perales declaration been central to the court's determination on the MSJ, the answer might be yes. But it was not. The court does not believe that the word "Perales" appears in the 51 page decision, nor does the court recall citing to that declaration. It is hard for the court to say that the result would have been different had the declaration not been filed; indeed, the opposite is true. And going forward, the court does not see the prejudice. Unlike what would be the case if Fuller had stolen private tactical emails between McCourt and her counsel (as was the case in Disney), there is no information that Fuller can now use against McCourt that he ought not to have or witness now unavailable to McCourt or document that was destroyed. In short, the court does not see how the trial will be fundamentally prejudiced or prejudiced at all.

So, while if McCourt's assertions are true, the conduct might just be over the line that would warrant severe sanctions and even perhaps terminating sanctions, the prejudice is not. On balance, and although the court does believe that the matter is a hard one, the motion for terminating sanctions is DENIED. The question whether monetary sanctions ought to be imposed will be deferred to the end of trial. Because plaintiff now has counsel, the court believes that any confidential materials that counsel must see can be shown consistent with the protective order.

The court ends with this.

The court is very concerned that Fuller might have been able to put in false evidence in the guise of the Perales declaration if what McCourt's counsel claims is true, and the court has a high regard for McCourt's counsel based on her actions and conduct thus far in this case. The court cautions Fuller's current counsel that counsel should ensure that evidence put before the court be proper. Counsel is, of course, entitled to represent their client zealously and to believe their client; that is what lawyers

do. But if a declaration is going to be procured by Fuller to be used in court, counsel has an obligation to be sure that the declaration was obtained properly.

The court has seen the supplemental materials Fuller filed on August 20, 2026, without authorization.

The court has seen them but has not read them. They are STRICKEN. If Fuller wants to file unauthorized papers in the future, he should at least have the courtesy to bring a simultaneous request showing the need for that kind of extraordinary relief. The court is aware of the request for leave to do this—which the court saw for the first time this morning. That request comes too late.

Finally, the court reiterates that there is a trial coming up. This case has been going for a while. All parties—both Fuller and McCourt as well as the other parties in this case—have a right to get this matter resolved one way or the other, and it has been far too long already, largely due to Fuller's and his counsel's repeated misconduct in the summary judgment process. The court has no intention of allowing anything to interfere with this trial going forward other than extreme unforeseen circumstances. If the court is engaged in trial, the court will complete that trial, but this case will trail and begin immediately after that case concludes, second only to cases that have a statutory priority.